EXAMINAI ACADEMIC SUITE

BUSINESS ECONOMICS

Macroeconomic Policy and Inflation Dynamics

Comprehensive structured revision guide with learning outcomes & analysis.

MODULE TYPE	AUDIENCE	WORD COUNT	TARGET EXAM
STANDARD	ADVANCED	1850 WORDS	CFA LEVEL 1

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1. 1. Classical vs Keynesian Paradigms

Macroeconomic stabilization depends heavily on the policy transmission mechanism and monetary policy stance.

DEFINITION

Phillips Curve: The empirical inverse relationship between unemployment rate and inflation rate in an economy.

TIP

[WORKED EXAMPLE] When the central bank raises the benchmark policy rate by 50 bps, borrowing costs increase, causing aggregate demand (AD) to shift leftward.

Instrument	Mechanism	Target Variable	Typical Lag
Open Market Operations	Purchase/sale of government securities	Overnight interbank rate	1 to 2 quarters
Reserve Requirements	Ratio of deposits banks must hold	Money multiplier	Immediate
Discount Window	Direct central bank lending rate	Liquidity backstop	Short-term

1.1 The Taylor Rule

The Taylor rule prescribes how central banks should adjust policy rates: r = r + p + 0.5(p - p) + 0.5(y - y*)

2. 2. Modern Central Bank Frameworks

Inflation targeting frameworks require transparent forward guidance and credible commitment to anchor inflation expectations.

WARNING

Central bank credibility is key: if expectations become unanchored, the sacrifice ratio rises dramatically.

- [x] Monetary neutrality in long run
- [x] Short-run nominal rigidities
- [ ] Unconventional QE balance sheet dynamics

Phillips Curve - An economic concept stating that inflation and unemployment have a stable and inverse relationship. **Taylor Rule** - An interest rate forecasting model invented by economist John Taylor. **Sacrifice Ratio** - The percentage of real GDP lost for each 1% reduction in trend inflation.

Glossary & Key Terminology

Phillips Curve - An economic concept stating that inflation and unemployment have a stable and inverse relationship. Taylor Rule - An interest rate forecasting model invented by economist John Taylor. Sacrifice Ratio - The percentage of real GDP lost for each 1% reduction in trend inflation.